

## A LOT AT STAKE

**The modus operandi of finfluencers has caught everyone's attention**



Many finfluencers fudge their trading record to attract more followers



Influencers with a huge following can make a lot of money with every video



Earnings can be through Google advertisements, collaborations, affiliate partnerships



The higher the number of views for the video, the higher the income through Google ads



As part of collaborations and partnerships, influencers promote a product or service



Such promotion could get them a referral fee, a lump sum fee or even a share of profit

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**Sebi Chief Madhabi Puri Buch has been quite vocal on this issue...**

**"SEBI'S APPROACH IS TO UNTANGLE A COMPLEX ISSUE BECAUSE IF IT IS COMPLEX, YOU CAN'T PUT YOUR ARMS AROUND IT. OUR OBJECTIVE WILL BE TO UNTANGLE IT..."**

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subsequent lockdowns. Confined to the comfort of their homes and relieved from the drudgery of the daily commute, salaried professionals suddenly found time for side hustles or trading in the markets, leading to a huge increase in the number of retail investors in the stock market, who either sought to make a quick buck or were forced to reconsider their investment approach considering the uncertainty that suddenly enveloped them.

And the market obliged. After a steep plunge in March 2020, it rallied stupendously for the rest of the year, fuelling the increase in first-time investors. That, in turn, created a hunger for investment advice, and finfluencers filled the breach. Cut to 2023, and some of

the top finfluencers have attained cult status, boasting follower counts that dwarf those of some of the biggest brokerage firms.

But as is the case with such booms, there has also been an ugly side to this. The massive growth of the financial advice business has attracted millions of self-proclaimed experts who are doling out clickbait and catchy content to attract viewers while giving their own vested interests a preference over those of their followers. In light of this, Sebi has been forced into taking a slew of measures, from punishing those who have flouted the rules to issuing a consultation paper on bringing in new rules to regulate this space.